

HockeyStack Case Study Report

Financial Modeling & HR Recruiting Analysis

Prepared by: Bella Kuo

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Case #1 Financial Modeling

Executive Summary

Company Y is targeting **\$30M in new ARR** in the coming fiscal year. The model assumes each AE carries a **\$1.2M annual quota**, requires a **three-month ramp**, and benefits from a pre-built pipeline that enables closing from Q2 onward. Revenue is modeled with seasonality (Q1 10%, Q2 20%, Q3 30%, Q4 40%) and assumes sufficient pipeline coverage to support quota attainment.

The analysis focuses on three execution levers: **quota attainment, attrition, and hiring timing**. In the **Base Case**, **59 hires** are required under 80% attainment, 15% attrition, and a balanced Q1/Q2 hiring schedule. The **Upside Scenario** shows that higher attainment, lower attrition, and front-loaded hiring could reduce the need to **41 hires**, while the **Downside Scenario** highlights the risk of weaker execution and delayed onboarding, which would increase the requirement to **89 hires**. All scenarios fall within the 7–14 deals per AE validation range, confirming operational feasibility.

Execution will determine the outcome. To de-risk the \$30M goal, the plan should **front-load hiring in Q1**, strengthen attainment through enablement and pipeline alignment, and manage attrition proactively. A **capacity buffer above the Base Case** is recommended, with continuous monitoring of attainment run-rates, hiring dates, and attrition to reforecast dynamically between scenarios and keep capacity aligned with performance.

Modeling Framework

1. Fixed Assumptions

Building on the base assumptions of a **\$1.2M** annual AE quota and a three-month ramp, the model further defines the **\$30M** target strictly as **new ARR** (excluding expansion and churn) to isolate forward-looking sales responsibility. Revenue is modeled with a **seasonality** curve of Q1 10%, Q2 20%, Q3 30%, and Q4 40%, consistent with typical SaaS deal flow. The analysis also assumes **pipeline coverage is at least equal to quota**, ensuring AEs are not constrained by opportunity volume, and incorporates a **pre-built pipeline** that enables new hires to begin closing immediately after ramp in Q2.

2. Drivers

The model is driven by three execution levers: **quota attainment**, **attrition**, and **hiring timing**. Quota attainment, ranging from 70% to 90%, reflects underperformance, plan-level execution, and strong performance. Attrition, tested between 10% and 20%, captures turnover risk and its impact on effective headcount. Hiring timing considers three patterns—all Q1 hires, a Q1/Q2 split, or all Q2 hires—to quantify how onboarding pace influences in-year revenue contribution. Together, these drivers show how execution in productivity, retention, and hiring speed determines capacity needs and feasibility of the \$30M goal.

Metrics	Base	Upside	Downside
New ARR Goal	\$30M		
AE Quota	\$1.2M		
Attainment	80%	90%	70%
Hiring Timing	50% in Q1, 50% in Q2	Accelerated into Q1	Delayed until Q2
Attrition	15%	10%	20%

3. Validation Metrics

With an average deal size of \$60K, I set **7–14 deals per AE annually** as a validation benchmark. This range reflects a manageable workload and serves as a check to ensure the model’s outputs remain realistic.

Scenario Results

The model applies the same calculation steps across all scenarios. Weighted ARR per AE is derived from quota, ramp, and attainment; AE Needed scales the \$30M target against this productivity; AE Hires (final) adjusts for attrition; and Deals per AE validates workload against the \$60K average deal size.

Metric	Calculation
Weighted ARR/AE	(Annual Quota * (1 - Ramp Period / 12 months)) * Quota Attainment %
AE Needed	\$30M Target ÷ Weighted ARR/AE
AE Hires (final)	AE Needed ÷ (1 - Attrition %)
Deals per AE	Weighted ARR/AE ÷ Average Deal Size (\$60K)

By dividing the analysis into three scenarios, the model shows how attainment, attrition, and hiring timing directly impact headcount requirements. The **Base Case** requires **59 hires**, while the **Upside Scenario** reduces the need to **41 hires** through higher attainment, lower attrition, and earlier hiring, and the **Downside Scenario** increases it to **89 hires** under weaker execution and delayed onboarding. Across all cases, deal capacity remains within 7–14 deals per AE annually, confirming operational feasibility.

Metric	Base	Upside	Downside
Quota Attain.	80%	90%	70%
Attrition	15%	10%	20%
Hiring Time	Q1 50% / Q2 50%	Q1 100%	Q2 100%
Weighted ARR/AE	\$600K	\$810K	\$420K
AE Needed	50	37	71
AE Hires (final)	59	41	89
Deals per AE	10	13.5	7

Implementation and Recommendation

The scenario analysis shows that execution on **hiring timing, attainment, and attrition** can swing headcount needs from as few as 41 to as many as 89 hires. To anchor delivery of the \$30M ARR target while minimizing risk, the following priorities are recommended:

1. **Front-load hiring in Q1.** Secure capacity early to maximize ramped AE contribution in-year. Even a one-quarter delay materially increases headcount requirements.
2. **Strengthen quota attainment.** Invest in enablement, ICP targeting, and pipeline rigor to lift attainment toward 90%. A 10-point gain cuts headcount needs by ~20 hires.
3. **Manage attrition proactively.** Implement retention levers—competitive compensation, clear career paths, and manager support—to avoid inflated hiring backfills.

To de-risk the \$30M target, the plan should include a **capacity buffer above the Base Case**, align **pipeline generation with AE hiring**, and **track execution signals**—attainment run-rates, hiring dates, and attrition. These inputs should drive reforecasting into Upside, Base, or Downside scenarios, enabling dynamic adjustments and ensuring capacity stays aligned with performance.

Case #2 Recruiting Strategy

Executive Summary

Company Z aims to hire 50 employees next year—30 technical and 20 non-technical—requiring the build-out of a new recruiting team. The model assumes a competitive San Francisco market, outbound-heavy sourcing, and recruiters managing end-to-end hiring with moderate system maturity. Recruiter capacity is set at 8–12 technical and 12–18 non-technical hires annually, with peak demand of ~35 requisitions.

Scenario modeling shows that **five recruiters** form the most balanced configuration, covering ~7 requisitions each with time-to-fill at ~60 days for technical and ~40 days for non-technical roles. Upside conditions could reduce the need to four recruiters, while downside pressures may increase requirements to six.

Beyond recruiters, talent group analysis highlights the need for targeted support. In the base case, **a sourcer** ensures outbound pipeline strength and **a coordinator** improves scheduling and candidate experience. Under pessimistic conditions, branding and HRBP support become essential to counter higher attrition and lower acceptance.

The recommended design is a seven-person team: **five recruiters plus a sourcer and coordinator**. This structure balances efficiency, resilience, and scalability, positioning Company Z to achieve its 50-hire plan in a competitive market.

Key Assumptions

1. Hiring Volume

The goal of Company Z is to hire 50 employees next year—30 technical and 20 non-technical. I assume this translates to a **peak of ~35 open requisitions**. Recruiter capacity varies by function: **technical recruiters** typically deliver **8–12 hires** annually, while **non-technical recruiters** manage **12–18**. As a validation metric, each recruiter is expected to handle 8–12 active requisitions, consistent with industry benchmarks. As a startup, Company Z prioritizes ability and creativity over rigid years of experience, which broadens the talent pool, reduces bottlenecks, and directly informs the recruiter count and talent team models.

2. Market, Internal & Channel

Company Z is based in San Francisco, where the talent pool is deep but highly competitive, and candidates often manage multiple offers. Recruiters run the full hiring cycle—sourcing, scheduling, and closing—with moderately mature systems, though scheduling and decision speed remain bottlenecks. The employer brand is still developing, limiting inbound pipeline and forcing heavy reliance on outbound sourcing. Together, these factors drive time-to-fill: 55–70 days for technical roles, reflecting both talent availability and multi-offer risks, and 35–50 days for non-technical roles, consistent with broader market benchmarks.

3. Budget

Company Z has sufficient budget to support the full hiring process and the formation of the necessary talent group, ensuring resources are not a limiting factor in achieving the 50-hire plan.

Recruiter Count Scenario Model

1. Calculation Logic

Using the calculation method and validation, recruiter count is determined by dividing the annual hiring targets for technical and non-technical roles by recruiter capacity.

Validation is done by checking peak requisition load against the healthy benchmark of 8–12 requisitions per recruiter.

$$\text{Recruiter Count} = \frac{30}{\text{Tech Recruiter Capacity}} + \frac{20}{\text{Non-Tech Recruiter Capacity}}$$

2. Scenario Modeling

Scenario	Base	Upside	Downside
Recruiter Annual Capacity- Tech	10	12	8
Recruiter Annual Capacity - Non-Tech	15	18	12
Time-to-Fill Assumption (Tech/Non-Tech)	60d / 40d	55d / 35d	70d / 50d
Recruiter Count	5	4	6
Requisitions per Recruiter	35 ÷ 5 = 7.0	35 ÷ 4 = 8.8	35 ÷ 6 = 5.8

In the **base case**, 5 recruiters are required, each managing ~7 requisitions at peak, with time-to-fill at ~60 days for technical and ~40 days for non-technical roles. This reflects moderate ATS maturity and outbound-heavy sourcing, providing balanced coverage for

50 hires without overextension. In the **upside case**, stronger inbound pipeline, faster hiring manager decisions, and improved employer brand shorten time-to-fill to ~55/35 days, allowing the plan to be covered by 4 recruiters handling ~9 requisitions each—efficient but with little buffer if conditions shift. In the **downside case**, weaker brand pull, slower internal processes, and outbound reliance stretch time-to-fill to ~70/50 days, requiring 6 recruiters with ~6 requisitions each; while coverage is sustained, costs rise and added talent team support becomes necessary.

3. Insights and Strategic Recommendations

Recruiter capacity is the main swing factor in determining headcount, while time-to-fill (TTF) reflects the underlying shifts in market competitiveness, internal process efficiency, and channel strength that directly influence that capacity. Shorter TTF signals higher recruiter throughput, reducing required headcount, while longer TTF indicates constrained capacity and higher recruiter needs.

Strategic recommendations:

- a. **Anchor on 5 recruiters** as the base-case configuration, providing balanced coverage for 50 hires.
- b. **Monitor TTF closely** as a leading indicator of whether recruiter capacity is expanding (upside) or contracting (downside).
- c. **Augment recruiters with targeted roles:** a coordinator in the upside to maintain efficiency, a sourcer and coordinator in the base case to secure pipeline and streamline process, and branding plus HRBP in the downside to improve conversion and retention.

Talent Group Decision

1. Characters in a Talent Group

The talent group can be expanded with four key roles to complement recruiters. A **Coordinator** manages scheduling, communication, and candidate logistics, improving efficiency and experience when recruiter load peaks. A **Sourcer** builds the top-of-funnel pipeline through outbound efforts, especially critical when inbound channels are weak or market competition is high. **Employer Branding** strengthens visibility and market attractiveness, directly supporting offer acceptance and long-term talent attraction.

Finally, an **HR Business Partner (HRBP)** safeguards retention and quality through calibration, onboarding, and manager enablement, becoming essential when attrition or quality issues arise.

2. Metrics

To evaluate whether roles beyond recruiters are needed, four key metrics are applied.

Cost per Hire (CPH) captures overall efficiency: without support roles, recruiters may lean on costly external channels, while adding sourcers or coordinators can raise fixed costs but reduce long-term spend. **Quality of Hire** measures performance and fit within 6–12 months; when speed pressures compromise quality, HRBP or calibration support becomes essential. **Offer Acceptance Rate** reflects candidate experience and employer brand strength, with >85% considered healthy and <75% signaling the need for branding investment or coordinator support to improve conversion. Finally, **First-Year Attrition** highlights retention and onboarding effectiveness, where rates above 20% suggest the need for HRBP and manager enablement to stabilize outcomes.

3. Scenario Modeling

Metric	Base	Upside	Downside
Cost per Hire	~\$4.5K	~\$3.5K	>\$5K
Offer Acceptance Rate	75-85%	>85%	<75%
First-Year Attrition	10-20%	<10%	>20%
Quality of Hire	Medium	High	Low/Unstable

The **Base Scenario** is the most realistic, with CPH at ~\$4.5K, medium quality, 75–85% acceptance, and 10–20% attrition. Five recruiters form the core, supported by a sourcer to secure pipeline and a coordinator to streamline scheduling and reduce drop-offs. This structure balances cost, throughput, and quality.

In the **Optimistic Scenario**, recruiting is a cost advantage with CPH at ~\$3.5K, high quality of hire, >85% acceptance, and <10% attrition. Four recruiters cover demand, and employer branding is optional. Favorable markets and mature processes make this the leanest, most efficient setup.

The **Pessimistic Scenario** exposes growth risk: CPH >\$5K, low/unstable quality, <75% acceptance, and >20% attrition. Six recruiters alone are insufficient—sourcers, a

coordinator, employer branding, and HRBP/People Ops become essential to sustain pipeline, improve conversion, and reduce attrition. Without this infrastructure, costs escalate and targets are missed.

4. Insights and Strategic Recommendations

The base case provides the strongest and most sustainable structure for Company Z, with **five recruiters supported by a sourcer and coordinator** to balance cost, pipeline, and candidate experience. This should be the anchor model, while the key hiring metrics—Cost per Hire, Offer Acceptance Rate, First-Year Attrition, and Quality of Hire—are continuously monitored to determine when adjustments are needed. Depending on how these metrics trend, additional roles such as employer branding or HRBP can be added in line with the scenario modeling results, ensuring the team flexes strategically with changing conditions rather than over- or under-investing in talent support.